COMPANYVAL AI

AI-Assisted Business Valuation

# ABC Foods India Pvt Ltd

Comprehensive Valuation Analysis

**Valuation Date:** 2026-08-23

**Purpose:** Fund Raising

**Indicative Enterprise Value Range:** Rs. -5.15 Cr – Rs. 19.89 Cr

**Central Estimate:** Rs. 4.89 Cr

Low Confidence · Valuation Readiness 52%

## 1. Executive Summary

This report presents the independent business valuation for ABC Foods India Pvt Ltd, prepared for fund raising purposes. Based on CompanyVal AI's deterministic valuation engine, the central estimate for the company's Enterprise Value (EV) is 48,852,056.48, yielding an Equity Value of 23,352,056.48 and a per-share valuation of 23.35.

The overall valuation outcome is assigned a **Low Confidence** rating due to significant dispersion across valuation methodologies, ranging from an EV of -51,495,887.04 in the Discounted Cash Flow (DCF) model to 198,900,000.0 under the Market Multiple approach. Key risk factors including cash conversion bottlenecks and receivable collection delays also contribute to this uncertainty.

- Central Enterprise Value: 48,852,056.48
- Central Equity Value: 23,352,056.48 (Per share: 23.35)
- Methodology Weightings: DCF (50%), Market Multiple (30%), Adjusted NAV (20%)
- Overall Confidence Level: Low Confidence

**Fair enterprise value estimated between Rs. -5.15 Cr and Rs. 19.89 Cr**, with a weighted central estimate of **Rs. 4.89 Cr**. Equity value: **Rs. 2.34 Cr**, implying **Rs. 23.35** per share.

## 2. Company Profile

| | | | |
|---|---|---|---|
| **Company** | ABC Foods India Pvt Ltd | **Industry** | Food & Beverages |
| **Entity Type** | Private Limited Company | **Country** | India |
| **Valuation Purpose** | Fund Raising | **Currency / Units** | INR (Crore) |
| **Promoter Holding** | 74.50% | **Total Shares (Diluted)** | 1,000,000 |

ABC Foods India Pvt Ltd operates within the Food & Beverages sector in India. The current valuation engagement has been conducted to support an upcoming fund-raising initiative by establishing an authoritative benchmark for enterprise and equity value.

While historical revenue growth has been strong, management discussions indicate that recent top-line expansion was significantly driven by price adjustments rather than volume growth. As the business seeks external capital, sustaining volume-led expansion and improving operational cash flow conversion remain critical strategic imperatives.

## 3. Documents Analysed

| Document | Year | Pages | Status | SHA-256 (first 16) |
|---|---|---|---|---|
| CompanyVal_AI_Schedule_III_Financials_FY2023-24.pdf | FY2023-24 | 9 | awaiting_review | 325902a65e5dfb8e… |
| CompanyVal_AI_Schedule_III_Financials_FY2024-25.pdf | FY2024-25 | 9 | awaiting_review | f2b90dc5c8fa8478… |
| CompanyVal_AI_Schedule_III_Financials_FY2025-26.pdf | FY2025-26 | 9 | awaiting_review | 1f7d6f652b82b251… |

## 4. Historical Financial Performance

| Line Item (INR Cr) | FY2022-23 | FY2023-24 | FY2024-25 | FY2025-26 |
|---|---:|---:|---:|---:|
| Revenue from Operations | 7.20 | 8.00 | 9.00 | 13.00 |
| Other Income | 0.10 | 0.12 | 0.15 | 0.18 |
| EBITDA | 1.20 | 1.32 | 1.68 | 2.67 |
| Depreciation & Amortisation | 0.25 | 0.28 | 0.32 | 0.47 |
| EBIT | 0.95 | 1.04 | 1.36 | 2.20 |
| Finance Costs | 0.20 | 0.24 | 0.26 | 0.31 |
| Profit Before Tax | 0.75 | 0.80 | 1.10 | 1.89 |
| Tax Expense | 0.25 | 0.20 | 0.28 | 0.40 |
| Profit After Tax | 0.50 | 0.60 | 0.82 | 1.49 |
| Net Worth | 2.00 | 2.60 | 3.42 | 4.92 |

| | | | | |
|---|---|---|---|---|
| Total Assets | 5.00 | 5.90 | 6.95 | 10.50 |
| Cash & Cash Equivalents | 0.35 | 0.45 | 0.52 | 0.60 |
| Cash Flow from Operations | 0.80 | 0.95 | 1.05 | 0.90 |
| Capital Expenditure | 0.64 | 0.63 | 0.87 | 1.72 |

ABC Foods India Pvt Ltd has demonstrated robust top-line and operating profit trajectories historically:

- Revenue CAGR: 21.77%
- EBITDA CAGR: 30.55%
- PAT CAGR: 43.90%
- Latest Revenue Growth: 44.44%
- Latest EBITDA Margin: 20.54% (average historical margin of 18.09%, reflecting an expansion of 1.87 percentage points)

Despite strong operational expansion, performance volatility is notable, with revenue volatility at 18.86% and earnings volatility at 31.19%. Working capital trends (1.54) and debt trends (0.66) reflect elevated working capital commitments to support growth.

## 5. Financial Ratio Analysis

| Ratio | FY2022-23 | FY2023-24 | FY2024-25 | FY2025-26 |
|---|---|---|---|---|
| Revenue Growth | — | 11.1% | 12.5% | 44.4% |
| EBITDA Margin | 16.7% | 16.5% | 18.7% | 20.5% |
| PAT Margin | 6.9% | 7.5% | 9.2% | 11.5% |
| Return on Equity | 25.0% | 23.1% | 24.1% | 30.3% |
| ROCE | 24.4% | 22.9% | 24.9% | 27.3% |
| Current Ratio | 1.44× | 1.53× | 1.72× | 1.79× |

| | | | | |
|---|---|---|---|---|
| Debt / Equity | 0.95× | 0.75× | 0.59× | 0.64× |
| CFO / PAT | 1.60× | 1.58× | 1.27× | 0.60× |
| Receivable Days | 48 | 48 | 47 | 70 |

## 6. Earnings Quality

Evaluation of earnings quality highlights potential working capital and cash conversion vulnerabilities that merit close attention by prospective investors:

- **Earnings Quality Risk (High Severity):** Operating cash flow relative to Net Profit (CFO/PAT) remains below 0.70, indicating that reported accounting profits are not fully converting into cash.
- **Working Capital Risk (Moderate Severity):** Receivable days expanded by over 20%, pointing to slower collections and increased working capital absorption.
- **Execution Risk (High Severity):** High reliance on sustaining top-line momentum, particularly following recent growth primarily driven by price increases.

## 7. Normalisation Adjustments

No normalisation adjustments were required.

## 8. Business Assessment & AI Interview Findings

Insights from the management interview provide crucial context regarding historical performance drivers and future expectations:

- **Historical Growth Driver:** Management noted that the substantial revenue surge during FY2025-26 was principally driven by price increases rather than volume gains.
- **Future Growth Outlook:** Management targets a realistic annual revenue growth rate of 20% over the next 5 years, aligning closely with historical CAGRs.

Addressing receivable management and accelerating cash conversion will be essential to translate targeted top-line growth into sustainable enterprise value.

| Question | Management Response | Signal |
|---|---|---|

| | | |
|---|---|---|
| What principally contributed to the substantial increase in revenue during FY2025-26? | Price increase | Neutral |
| What annual revenue growth do you consider realistic for the next 5 years? | 20% | Positive |

## 9. Key Risks

- **Execution Risk** [High] — Dependence on sustaining unusually high growth. YoY revenue growth exceeds 25% — investigate growth sustainability. Management response captured in the interview.
- **Earnings Quality Risk** [High] — Profits not fully converting to cash. CFO/PAT below 0.70 — earnings are not fully converting to cash.
- **Working Capital Risk** [Moderate] — Collections slowing down. Receivable days increased more than 20% — investigate collections.

## 10. Valuation Assumptions

| Assumption | Value | Source |
|---|---|---|
| Revenue Growth (CAGR) | 16.0% | Accepted by analyst |
| EBITDA Margin | 18.0% | Accepted by analyst |
| WACC / Discount Rate | 12.0% | Accepted by analyst |
| Terminal Growth Rate | 3.0% | Accepted by analyst |
| Tax Rate | 25.0% | Accepted by analyst |
| EV/EBITDA Multiple (Exit) | 8.5× | Accepted by analyst |

## 11. Discounted Cash Flow (FCFF) Valuation

| Year | Revenue | EBITDA | EBIT | NOPAT | Capex | ΔNWC | FCFF | PV(FCFF) |
|---|---|---|---|---|---|---|---|---|
| Year 1 | Rs. 15.08 Cr | Rs. 2.71 Cr | Rs. 2.17 Cr | Rs. 1.63 Cr | Rs. 2.00 Cr | Rs. 0.49 Cr | Rs. -0.31 Cr | Rs. -0.28 Cr |
| Year 2 | Rs. 17.49 Cr | Rs. 3.15 Cr | Rs. 2.52 Cr | Rs. 1.89 Cr | Rs. 2.31 Cr | Rs. 0.57 Cr | Rs. -0.36 Cr | Rs. -0.29 Cr |
| Year 3 | Rs. 20.29 Cr | Rs. 3.65 Cr | Rs. 2.92 Cr | Rs. 2.19 Cr | Rs. 2.68 Cr | Rs. 0.66 Cr | Rs. -0.42 Cr | Rs. -0.30 Cr |
| Year 4 | Rs. 23.54 Cr | Rs. 4.24 Cr | Rs. 3.39 Cr | Rs. 2.54 Cr | Rs. 3.11 Cr | Rs. 0.76 Cr | Rs. -0.49 Cr | Rs. -0.31 Cr |
| Year 5 | Rs. 27.30 Cr | Rs. 4.91 Cr | Rs. 3.93 Cr | Rs. 2.95 Cr | Rs. 3.61 Cr | Rs. 0.88 Cr | Rs. -0.56 Cr | Rs. -0.32 Cr |

| | |
|---|---|
| **PV of explicit FCFF** | **Rs. -1.49 Cr** |
| **PV of Terminal Value (TV Rs. -6.45 Cr)** | **Rs. -3.66 Cr** |
| **Enterprise Value (DCF)** | **Rs. -5.15 Cr** |
| **Less: Debt Rs. 3.15 Cr · Add: Cash Rs. 0.60 Cr → Equity Value** | **Rs. -7.70 Cr** |

The DCF valuation yields a negative Enterprise Value of -51,495,887.04 (Equity Value of -76,995,887.04) under base assumptions, primarily reflecting heavy working capital requirements and negative projected free cash flows in the underlying deterministic engine model.

Because the DCF approach carries a 50% weight, it severely drags down the central EV estimate relative to the Market Multiple EV (198,900,000.0) and Adjusted NAV EV (74,650,000.0). Scenario analysis demonstrates significant variance across operating assumptions:

- **Bear Scenario:** Enterprise Value of 20,543,929.64; Equity Value of -4,956,070.36 (-57.95% vs Base).
- **Base Scenario:** Enterprise Value of 48,852,056.48; Equity Value of 23,352,056.48.
- **Bull Scenario:** Enterprise Value of 82,033,933.21; Equity Value of 56,533,933.21 (+67.92% vs Base).

## 12. Market Multiple Valuation

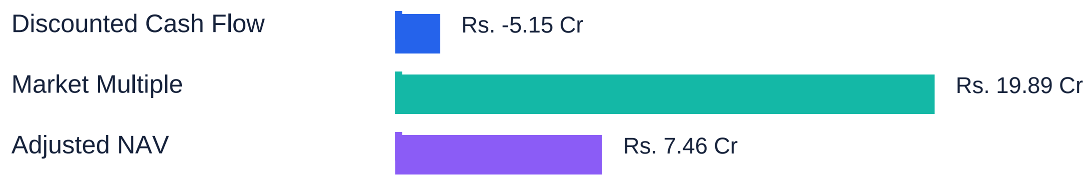
Applied basis: **EV/EBITDA (8.5x)** on normalised EBITDA → Enterprise Value **Rs. 19.89 Cr**, Equity Value **Rs. 17.34 Cr**.

## 13. Adjusted Net Asset Value

Book net worth Rs. 4.92 Cr adjusted by Rs. 0.00 Cr → Adjusted NAV (equity) **Rs. 4.92 Cr** (Adjusted Tangible).

## 14. Method Comparison & Weighted Central Estimate

| Method | Enterprise Value | Equity Value | Weight | Contribution |
|---|---|---|---|---|
| Discounted Cash Flow | Rs. -5.15 Cr | Rs. -7.70 Cr | 50% | Rs. -2.57 Cr |
| Market Multiple | Rs. 19.89 Cr | Rs. 17.34 Cr | 30% | Rs. 5.97 Cr |
| Adjusted NAV | Rs. 7.46 Cr | Rs. 4.92 Cr | 20% | Rs. 1.49 Cr |
| **Weighted Central Estimate (EV)** | | | | **Rs. 4.89 Cr** |




## 15. Sensitivity Analysis

Equity value across WACC (columns) and terminal growth (rows):

| g \ WACC | 10.0% | 12.0% | 14.0% | 16.0% |
|---|---|---|---|---|
| **2.0%** | Rs. -8.59 Cr | Rs. -7.30 Cr | Rs. -6.45 Cr | Rs. -5.84 Cr |
| **3.0%** | Rs. -9.27 Cr | Rs. -7.70 Cr | Rs. -6.70 Cr | Rs. -6.02 Cr |
| **4.0%** | Rs. -10.19 Cr | Rs. -8.20 Cr | Rs. -7.01 Cr | Rs. -6.22 Cr |
| **5.0%** | Rs. -11.47 Cr | Rs. -8.84 Cr | Rs. -7.38 Cr | Rs. -6.45 Cr |

| Assumption | Change | EV Impact | % Impact |
|---|---|---|---|
| EBITDA Margin | +2% | Rs. 2.54 Cr | +51.9% |
| EV / EBITDA Multiple (Exit) | +1.0x | Rs. 0.70 Cr | +14.4% |

| | | | |
|---|---|---|---|
| Revenue Growth (CAGR) | +2% | Rs. -0.67 Cr | -13.6% |
| WACC | -1% | Rs. -0.34 Cr | -7.0% |
| Terminal Growth Rate | +0.5% | Rs. -0.12 Cr | -2.4% |

## 16. Scenario Analysis

| Scenario | Rev. Growth | EBITDA Margin | WACC | Enterprise Value | vs Base |
|---|---|---|---|---|---|
| Bear Case | 10% | 14% | 14% | Rs. 2.05 Cr | -57.9% |
| Base Case | 16% | 18% | 12% | Rs. 4.89 Cr | +0.0% |
| Bull Case | 22% | 21% | 10% | Rs. 8.20 Cr | +67.9% |

## 17. Explainability — Key Value Drivers

Sensitivity analysis reveals key variables impacting enterprise valuation relative to the base case:

- **EBITDA Margin (+2%):** Increases valuation by 25,351,262.69 (+51.89%), representing the single most impactful value driver.
- **EV / EBITDA Multiple (+1.0x):** Increases valuation by 7,020,000.0 (+14.37%).
- **Revenue Growth (+2%):** Generates an impact of -6,653,022.48 (-13.62%), as higher top-line growth accelerates working capital drag under current cash conversion metrics.
- **WACC (-1%):** Generates an impact of -3,438,738.00 (-7.04%).

## 18. Indicative Valuation Range & Conclusion

The indicative enterprise-value range of **Rs. -5.15 Cr – Rs. 19.89 Cr** spans the lowest and highest selected methodology values. The weighted central estimate is **Rs. 4.89 Cr** (Low Confidence).

CompanyVal AI's deterministic analysis indicates a central Enterprise Value of 48,852,056.48 and an Equity Value of 23,352,056.48 (23.35 per share) for ABC Foods India Pvt Ltd. However, due to severe methodology divergence and operational cash flow constraints, this conclusion carries a Low Confidence rating.

For investment committee consideration, fund-raising discussions should focus on capital allocation toward working capital optimization, improving cash conversion, and ensuring volume-led volume growth to validate higher market-multiple valuations.

## 19. Statement of Assumptions

This valuation relies on the locked, human-approved historical financial data, the explicitly accepted forecast assumptions listed in Section 10, and management representations captured during the AI interview. Method weights: Discounted Cash Flow 50%, Market Multiple 30%, Adjusted NAV 20%.

## 20. Disclaimer

This document is an **AI-assisted indicative valuation simulation** produced by CompanyVal AI based on financial information supplied by the user and assumptions explicitly accepted by the user. It is **not** a statutory valuation, a registered valuer's certificate under the Companies (Registered Valuers and Valuation) Rules, a fairness opinion, or an audit opinion. Professional judgement and applicable regulatory requirements may be necessary for formal purposes. All deterministic calculations were performed by CompanyVal AI's Python financial engine; AI narrative explains — and does not alter — those results.

## 21. Appendix — Data Sources & Audit Trail

Financial line items are traceable to source documents/pages and retain Python-extracted, AI-verified and human-approved values. Generated by CompanyVal AI on 23 Aug 2026, 10:14 UTC for Arjun Demo.